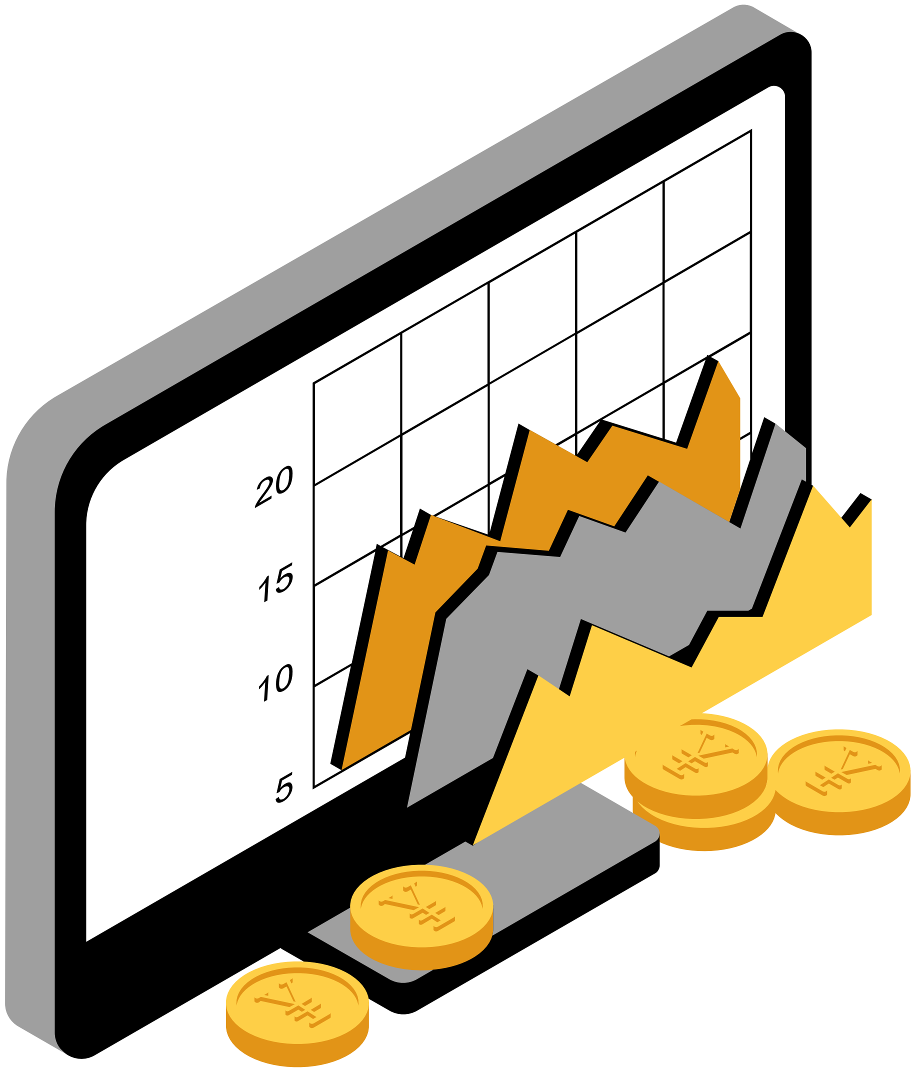

MOMENTUM

The Momentum Indicator is a straightforward one-line technical indicator that is used to estimate the strength of momentum that exists in the market. It is calculated as the difference between the current closing price and the closing price N periods ago. So, if we have selected the time frame of 24 periods, we will see that the momentum indicator value is the current closing price minus the closing price 24 periods ago. It is built on the assumption that the greater the difference in a given time frame, the stronger is the momentum in the asset price.

Momentum indicator can take a positive value as well as a negative value and therefore works like an unbounded oscillator around zero. If the value is positive, that means the closing price is higher than what it was N periods ago and if that difference is significant, we can say that the asset is in a strong uptrend. Similarly, if the closing price is lower than it was N periods ago, we can say that the asset is in a downtrend. The larger the negative value, the stronger is the momentum in the asset price. For a sideways market, the difference between the current closing and the closing N periods ago will not be that significant and as a result, the number will be around zero or a lower positive or negative value.